M Lakhamsi
Industries Limited

505, Churchgate Chambers, 5 New Marine Lines,
Mumbai - 400 020 India.
Tel : (91 22) 2262 0722 | Fax : (91 22) 2262 0706
Email : info@m.lakhamsi.com | Web : m.lakhamsi.com
CIN : L51900MH1985PLC034994
Government Recognised Export House

10.01.2023

Dear

The Indian peanut markets have been quite bullish from the start of the this crop season even with a fairly decent crop. Local demand for peanuts continues to be quite healthy as is export demand from the Far East countries. While we did export peanut oil to China as usual, the numbers this crop year were not enough to cause a rally in prices, although it did lend support at times to local pricing for peanut oil. We also have to appreciate the fact that over the last decade the size of the processing units has gone from an average of 10 – 15 tons a day to about 100 – 120 tons a day. This means that a lot more cargo stays as inventory in the hands of the processors as compared to earlier years.

The government departments would surely be smiling as they did not have to procure any significant quantities from the farmers this season. In Gujarat, prices have remained above the support prices on most days. In other parts of India there was some procurement but this was not of significant quantities.

The Bolds are harvested just once and these seem to have become a premium item this season. Prices for the larger sizes like 38/42 and 40/45 are significantly higher than what we have seen in the past years. Most of the smaller and local shellers have a disparity between the prices of the In-Shells and prices of kernels hence many of them have shut down their factories after running for hardly 1 – 2 months. Even with current price levels we are seeing healthy demand from Turkey, Algeria, Russia etc for these sizes. For the EU we are not yet competitive as compared to Argentina considering we have 50 % checking on arrivals.

The Javas are available round the year so there is no pressure here but we saw a movement of USD. 100.00 per ton in a day earlier this week in south India where new crop arrivals have commenced. Prices dropped by USD. 100 and then corrected by the same value the next day itself. All this is driven by local demand and most exporters or overseas buyers would find it very difficult to digest or absorb such volatility.

Freight rates are now close to pre covid times for most destinations and this brings with it a huge sense of relief as we are now back in the game to offer to many of the countries geographically west of India like the Saudi Arabia, Turkey, Algeria etc where it had become almost impossible to do business purely due to the logistics costs.

Current FOB levels for NON EU destinations are as follows –

Bold 38/42 – USD. 1480.00 pmt
Bold 40/50 – USD. 1435.00 pmt
Bold 50/60 – USD. 1360.00 pmt

Java Type 50/60 – USD. 1315.00 pmt
Java Type 80/90 – USD. 1220.00 pmt

Blanched Whole 40/50 – USD. 1655.00 pmt
Blanched Whole 50/60 – USD. 1590.00 pmt

Blanched Splits 40/50 – USD. 1600.00 pmt
Blanched Splits 50.60 – USD. 1545.00 pmt

The blanched peanuts are packed in 25 kgs vacuum bags with outer pp bag.

Please share your inquiries for the new year.

Regards – Sanjiv Sawla